



## BANK BALANCE SHEET: LOANS



**Creating credit** A balance sheet shows how liabilities are balanced by assets. When a bank makes a loan to a customer, the asset to the bank (the amount of the loan) is balanced exactly by the liability to the bank (the credit deposited in the customer's account).

**The balance sheet** records assets in one column and liabilities in the other.

**The value of the loan** in the customer's bank account.

**Further sums borrowed** by the customer add to the bank's assets.

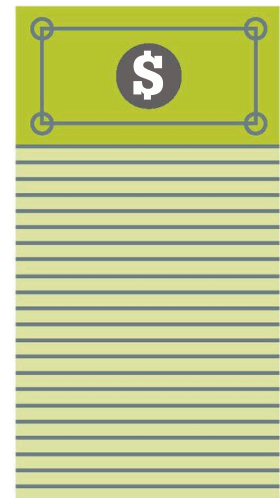
| Assets                                                                                                                                                                   | Liabilities                                                                                                                                                    |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Loan to customer<br><b>\$1,000</b><br>↑<br>The loan to the customer is an asset on which interest will be paid.                                                          | New money in the customer's account<br><b>\$1,000</b><br>↑<br>The credit in the customer's account is a liability that could be demanded in cash at any time.  |
| Assets                                                                                                                                                                   | Liabilities                                                                                                                                                    |
| Additional loan to customer<br><b>\$100</b><br>Total loan to customer<br><b>\$1,100</b><br>↑<br>The bank is now owed an additional \$100 on which interest will be paid. | Additional new money in the customer's account<br><b>\$100</b><br>Total new money<br><b>\$1,100</b><br>↑<br>The bank is now liable to pay an additional \$100. |

## DOUBLE ENTRY BOOKKEEPING

In accounting, this bookkeeping system requires that every business transaction is entered twice in at least two accounts to demonstrate that each entry has an equal and opposite effect. In practice this means that every debit in an account must be matched and offset by a credit. The sum of all debits must therefore equal the sum of all credits.

**The value of credit** in the customer's bank account.

**Further sums lent** to the customer add to the bank's liabilities.



LIABILITIES

